

Generative AI's Act Two

From Technology Hammer to Real Value

For venture investors and startup founders

Sequoia Capital analysis • Published September 2023

Narrative: Convergence → Traction → Retention Gap → Act 2 Playbook

Six Decades of Technological Progress Converged to Enable Generative AI



ChatGPT was the spark—but these stacked infrastructure waves were the fuel.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

startup revenue reached in months
(not years, as in SaaS)

ChatGPT

Fastest-growing application in history

Midjourney

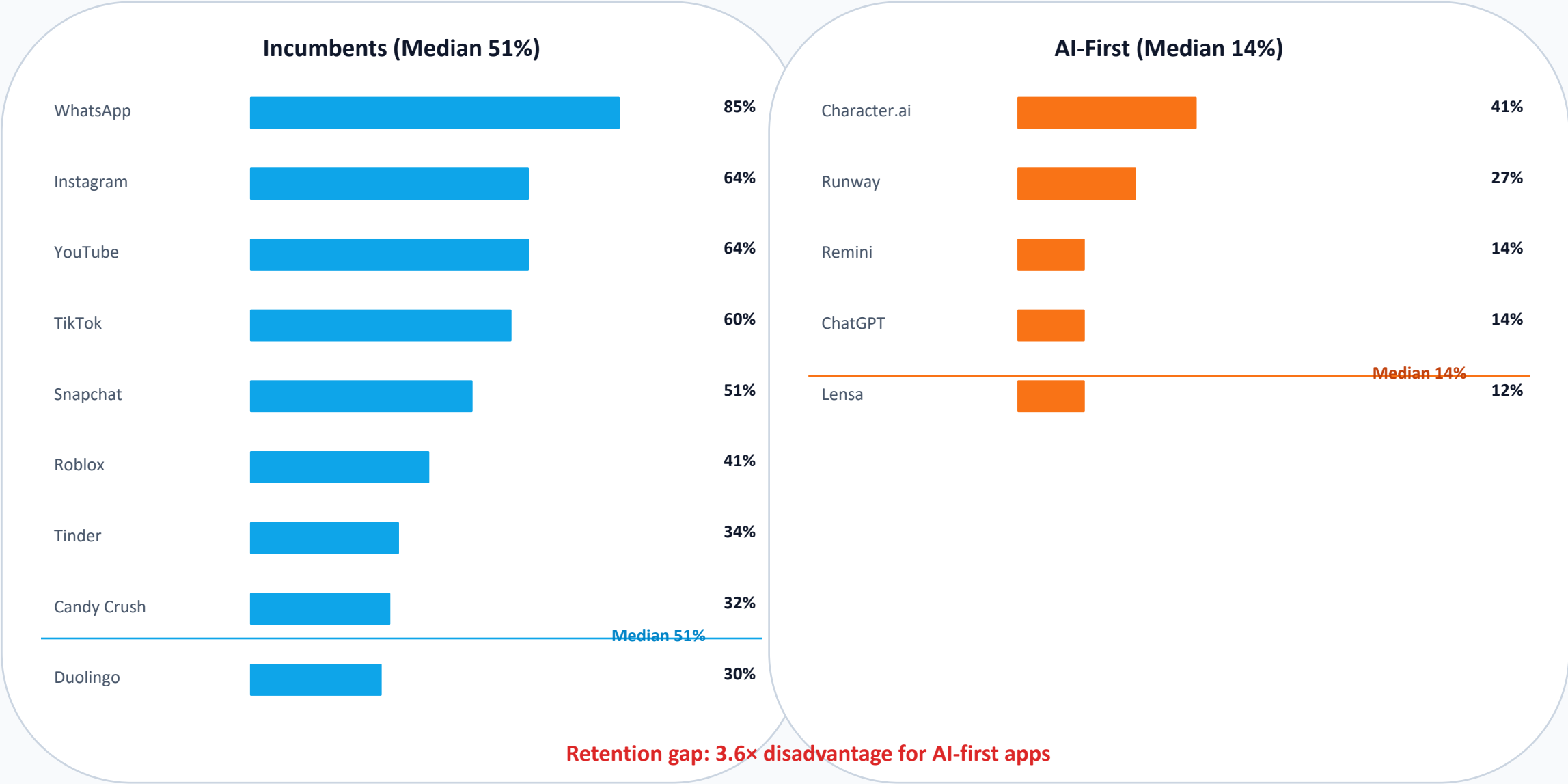
Hundreds of millions in revenue with 11 employees

Character.ai

~2 hours average session time in-app

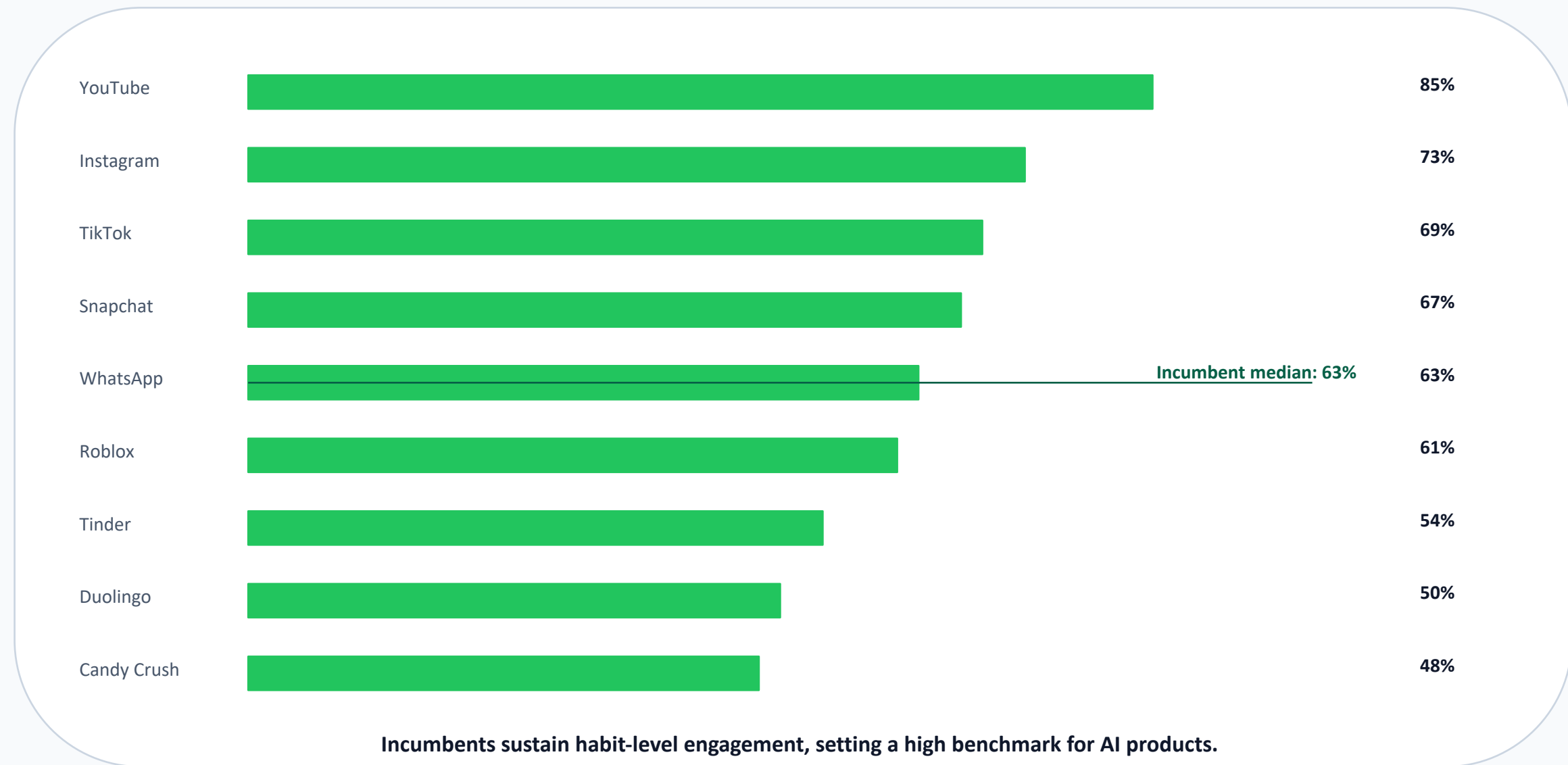
Commercial demand is real—but revenue velocity alone does not guarantee durable value.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



Source: Sequoia Capital, "Generative AI's Act Two" (Sep 20, 2023)

YouTube Leads Incumbents at 85% Monthly Active Usage



Source: Sequoia Capital, “Generative AI’s Act Two” (Sep 20, 2023)

Act 1 Was Technology-Out; Act 2 Is Customer-Back

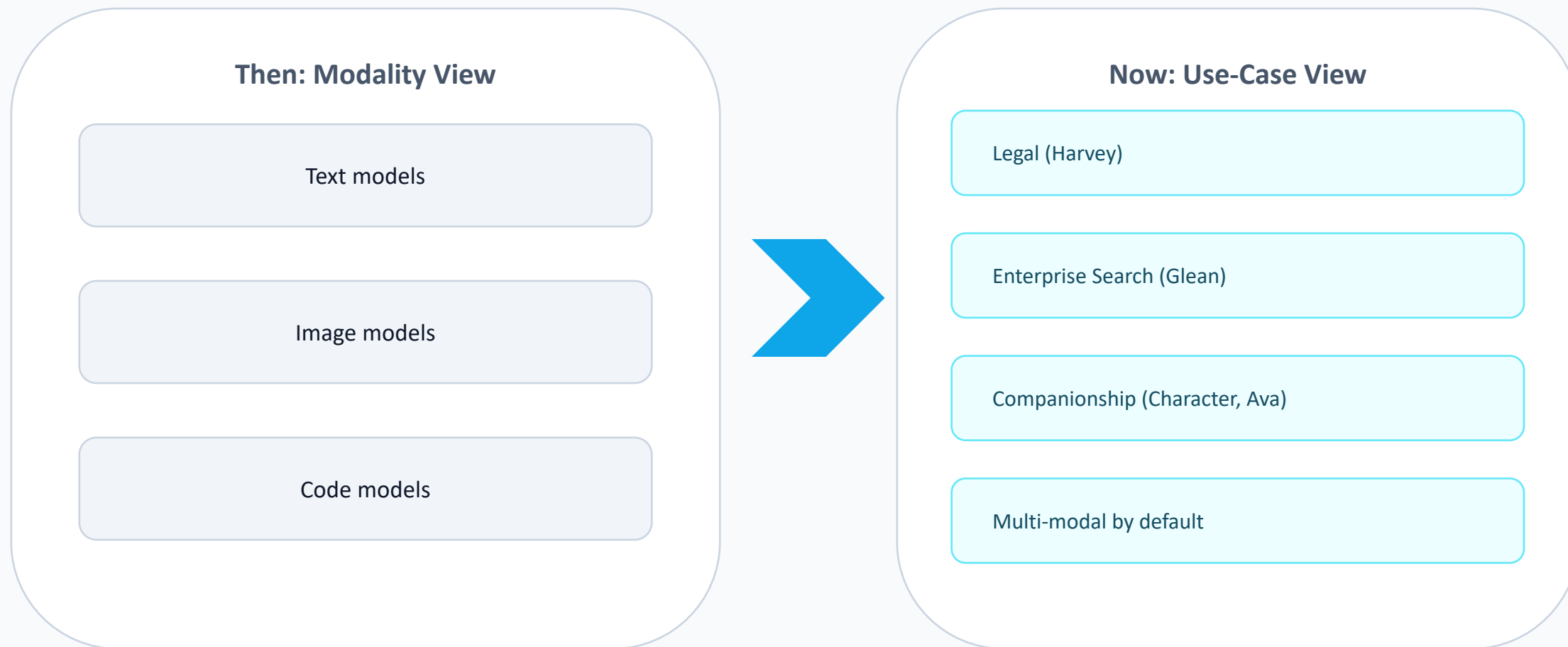
Act 1: Technology-Out

- Foundation model is the whole product
- Novelty demos and thin wrappers
- “AI copilot for everything” positioning
- Weak retention and low workflow embed

Act 2: Customer-Back

- Foundation model is one component
- New editing interfaces increase stickiness
- Multi-modal workflows and outputs
- End-to-end problem solving for real users
- Exemplars: Harvey, Glean, Character, Ava

Market Map Reorganized by Use Case, Not Model Modality



Interpretation: Market structure now mirrors customer jobs-to-be-done, not model type.

Key Takeaways: What Separates Winners in Act Two

- 01** Retention is the core risk: AI-first median 14% vs incumbents 51%.
- 02** The >\$1B startup revenue milestone proves demand is real, not hypothetical.
- 03** Treat foundation models as components within complete product systems.
- 04** Prioritize multi-modal, workflow-integrated, end-to-end experiences.
- 05** Back teams solving enduring human problems, not showcasing model novelty.

Act 2 winners convert model capability into compounding customer value.